BUSINESS STUDIES

SHORT NOTES

UNIT 01 - 11

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AAT-SL PASSED FINALIST

UNIT 01 Introduction to Business & Business Environment

Concept of Business

1. Needs & Wants

Human requirements that are essential for survival

Different ways of satisfying needs

Needs	Wants
Essential	Not essential
Common	Varied
Limited	Unlimited
Cannot be created	Can be created

Food – Kottu, Biriyani, Noodles
Shelter – Apartment, Mansion, Hut
Clothing – T-shirts, Trousers, Frocks
Shelter – Apartment, Huts, Mansion

2. Products

Anything offered to the market to fulfill human needs & wants

- Goods
- Services
- Ideas
- Places
- Organization

Goods	Services
Tangible	Intangible
Durable	Perishable
Separable	Inseparable
Can Store	Cannot store

3. Market

Any situation that connects buyers and sellers

Market Place	Market Space
Buyers & sellers meet physically	Buyers & sellers Connect virtually

4. Demand

Ability & Willingness to buy a product over various possible prices

5. Exchange & Transaction

- Exchange is the Process of transferring two or more products or value between two or more parties through communication and agreement
- Exchanging activities implemented for money is known as transaction

6. Value & Customer Satisfaction

- Value – Estimation given by customer on a specific product based on its ability to fulfill needs and wants
- Satisfaction – Fulfillment that customers derive by consuming a product

Definition of Business

Any economic activity which fulfills human needs and wants is a business

Common Characteristics of a Business

1. Name
2. People
3. Organizational Structure
4. Exchange or selling take place
5. Continuous transaction takes place
6. Has a risk
7. Culture
8. Communication
9. Common set of goals

Vision	Mission	Goals	Objectives	
"Future"/"Long Term" Provides perspective on where the company is headed and what the organization is headed and what the organization can become	"Present" Purpose/Why	Long term business results to be achieved in the future ✓ Profit maximization ✓ Sales maximization ✓ Survival ✓ Growth ✓ Increase market share ✓ Diversification	Short-term future business results S – Specific M – Measurable A – Achievable R – Realistic T – Time Bounded	✓ Strategies ✓ Policies ✓ Actions

Importance of goals and objectives

- ✓ Provides a clear direction
- ✓ Motivation
- ✓ Ability to measure progress
- ✓ Provides clear action target and decision making

Goals	Objectives
-Long Term	-Short Term
-General	-Specific
-Broad	-Narrow
-Bigger Picture	-Minor Chunks

Mission Statement – A formal written statements of the purpose of a company or organization

Evolution of Business

1. Self sufficient economy

Directly producing whatever is required to satisfy the needs and wants (self-production)

2. Specialization

Through the system of self-sufficient economy, it led to creation of individual specialization

3. Excess Production

Surplus production generated as a result of specialization

4. Barter System

Direct exchange of goods and services for other goods and services without the use of money

Limitations of the barter system:

- ✓ Lack of double co incidence of wants
- ✓ Difficulties in valuing product
- ✓ Perishability of commodities
- ✓ Difficulties in storing
- ✓ Divisibility problems

5.Money

Anything commonly accepted as a medium of exchange is termed as money

Different forms of money:

- ✓ Commodity money
- ✓ Metallic money
- ✓ Metal (Perfect) money
- ✓ Currency and bank money
- ✓ E-cash and money substitutes

6. Industrial Revolution

Period in the late 18th and 19th centuries when major changes in agriculture, manufacturing and transportation in Britain witnessed a sudden boost

6. Information Revolution

Use of modern technology and information being treated as an important commodity

Changes in production due to industrial revolution

- ➢ Small scale businesses converted to large scale
- ➢ New machinery and technology has been introduced
- ➢ Output quality and quantity increased

Changes in commerce due to industrial revolution

- ➢ New banks established
- ➢ Improvements in communication and transportation
- ➢ Usage of money became popular

Changes in society due to industrial revolution

- ➢ Increase in the living standard of people
- ➢ Increase in the environmental pollution
- ➢ Development of new cities

Division of Labour: Separation of a work in to number of tasks, with each task performed by a separate person or group of persons

Advatages	Disadvantages
-Generates personal specialization	-Workers may suffer from boredom
-Individual specialization could increase the efficiency level of workers	-Absense of one worker could hault the entire production process
- Increasing the productivity of the business due to increase in	-There is no personal growth related to the employees job

Commerce

Trade | **Auxiliary Services**

Commerce: Process of distributing finished product to final consumer efficiently and effectively

Trade: Process of exchanging goods and services among two or more parties for a monetary concern

Auxiliary services: Services provided to increase efficiency of trading activities **Ex: Banking, Insurance, Communication**

E-business: Doing all business activities electronically

- E-commerce, E-communication, E-banking, E-money, E-retail, E-marketing

E-commerce: Buying and selling goods and services through internet

- Business to Business (B to B)
- Business to Customer (B to C)
- Customer to Customer (C to C)
- Business to Government (B to G)

New Trends in Business

-Globalization	-Business process outsourcing
-Downsizing	-Emergence of electronic businesses
-Technological advances	-Powerful consumers and consumer protection
-High competition	-Use of electronic money

Classification of business

Nature of Production	Production Sector
<u>Primary</u> ➢ Agriculture ➢ Livestock ➢ Forestry ➢ Fishing ➢ Mining & Quarrying	<u>Agriculture</u> ➢ Farming ➢ Livestock ➢ Forestry ➢ Fishing
<u>Secondary</u> ➢ Manufacturing ➢ Construction	<u>Industry</u> ➢ Mining & Quarrying ➢ Manufacturing ➢ Constructing ➢ Electricity, Gas & Water
<u>Tertiary</u> ➢ Electricity, Gas & Water ➢ Transportation ➢ Communication ➢ Banking ➢ Other	<u>Service</u> ➢ Transportation ➢ Communication ➢ Banking ➢ Other services

- **Based on Ownership →** Private & Public
- **Based on Objective →** Profit & Not for Profit
- **Based on Scale →** Small, Medium & Large

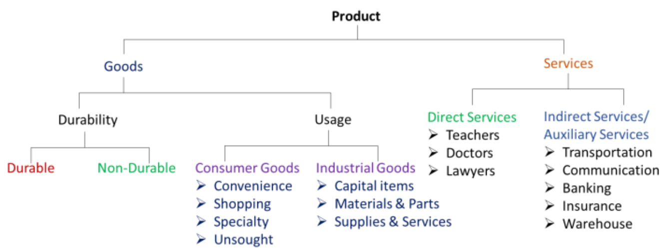
Business as a Process of Inputs & Outputs

Production means process of creating goods and services to satisfy human needs and wants.

Production Process → Converting inputs (Raw materials) to outputs (Finished goods)

Inputs	Process	Output
Land Labour Capital Enterprise Information Time Knowledge	-Research and development -Human resource management -Production -Marketing -Finance -Administration	-Product

- **Resources could be classified based on 7m's:**
  Men, Money, Machines, Methods, Minutes, Materials and Media
- **Management classification is based on:**
  Physical resources, Human, Finance, Information



Goods	Services
-Tangible -Homogenous -Separable -Can be stored	-Intangible -Variable -Inseparable -Cannot be stored (Perishable)

Stakeholders

The different parties who are interested in a business organization are considered as stakeholders

Internal – Stakeholders within the business organization

External – Stakeholders outside the business organization

Stakeholder	Reason for interest
Owner	-To obtain fair return on investment -To know the growth of business
Manager	-To maximize profit of business -To know successfulness of decisions
Employees	-To obtain fair salary -To get promotions
Customers	-To obtain quality products -Obtain products at reasonable price
Suppliers	-To receive continuous orders -To collect money on time
Government	-To collect taxes on time -To measure economic development

Shareholder concept → Satisfying need of shareholder and maximizing shareholders values at the expense of other stakeholders.

Stakeholder concept → Meeting needs of wide range of stakeholders

Business Environment – Anything which surrounds and affects the business organization

Benefits of studying about the Business Environment

- ✓ Can identify the strengths
- ✓ Can identify the weaknesses

} Internal Environment

- ✓ Can identify the opportunities
- ✓ Can identify the threats

} External Environment

Business Environment

- **Internal Environment**
  - ✓ Owners
  - ✓ Managers
  - ✓ Employees
  - ✓ Resources
  - ✓ Culture
  - ✓ Structure
- **External Environment**
  - **Immediate/Close/ Task Environment**
    - ✓ Customers
    - ✓ Suppliers
    - ✓ Competitors
    - ✓ Producers of substitutes
    - ✓ Potential businessmen
  - **Macro/General Environment**
    - ✓ Political
    - ✓ Economic
    - ✓ Social
    - ✓ Demographic
    - ✓ Technological
    - ✓ Legal
    - ✓ Natural
    - ✓ Global

Internal Environment	External Environment
-Within business organization -Controllable environment -Can identify strengths and weaknesses	-Outside the business organization -Uncontrollable environment -Can identify opportunities & threats

Internal Environment – Environment within the business

1. **Owner** → Party who contribute resources to business
2. **Manager** → Formulate plan & takes decision for business
3. **Employees** → Engage in work related to plans & decisions
4. **Organizational culture** → beliefs, values, norms, habits
5. **Organizational structure** → way in which functions, resources and authority of business is distributed
6. **Resources** → Inputs used in production

Force	Strengths	Weaknesses
Owners	-High number of them -Competent & capable	-Low number of them -Not competent & capable
Managers	-Dedication & commitment -Taking correct decisions	-Not competent & capable -Not taking correct decisions
Employees	-Skilled employees -Loyal employees	-Unskilled employees -Bad attitude of employees
Resources	-Right quantity -Right quality	-Shortage of resources -Outdated resources
Organizational Culture	-Positive culture -Strong values & beliefs	-Negative culture -Weak values & beliefs
Organizational Structure	-Clear position given -Good coordination	-No position given -Poor coordination

External Environment

Task Environment – Outside the business but represents a specific group

1. **Customers** → Individuals who purchase products
2. **Suppliers** → Individuals who supply raw materials
3. **Competitors** → Businesses that offer same product
4. **Producers of substitute goods** → Businesses that offer alternative products
5. **Intermediaries** → All the third party
6. **Investors** → Potential individuals who will be willing to invest into the business

Force	Opportunities	Threats
Customers	-High number of customers -Positive recommendation	-Less number of customers -Negative recommendation
Suppliers	-Supportive suppliers -Suppliers who are flexible with payments	-Non supportive suppliers -Suppliers who are not flexible with payments
Competitors	-Low competition -Competitors exit	-High competition -Entry of competitors
Producers of substitutes	-Low number of producers of substitutes -Exit of producers of substitutes	-High number of producers of substitutes -Entry of new producers of substitute goods
Intermediaries	-Supportive intermediaries -High number of intermediaries	-Unsupportive intermediaries -Less number of intermediaries
Investors	-Significant number of investors -Strong financial strength of investors	-Insignificant number of investors -Poor financial strength of investors

Micro environment = Internal environment + Task environment

Macro Environment – The bigger force that can influence the business in a positive manner (opportunities) or in a negative manner (threats)

1. **Economic Environment**

-Inflation	-Living cost	-Per capita income
-Savings	-Taxes	-Level of employment

2. **Political Environment**
   Political stability, political groups, political structure
3. **Legal Environment** – Rules & Regulations
4. **Technological Environment**
5. **Demographic Environment** – Related to population
   Population growth rate, size of population, gender ratio, age distribution, dependency ratio
6. **Natural Environment**
   Climate & weather, Natural disasters, resource scarcity
7. **Social and cultural environment**
   Cultures, customs, attitudes, religion, beliefs, values
8. **Global Environment**
   International trade, foreign investment, trade agreement

UNIT 02 Corporate Social Responsibility & Ethics

Corporate Social Responsibility

Social responsibility of business means the obligations of business to act in a manner, which will serve the best interests of the society being recognized for good practices and good business sense.

Social Responsibility towards interest groups

Employees	Customers
Equality Good employee relationship Job security Health and Safety	Being Fair Minimizing damages After-sales services Protecting rights
Owners	**Society**
Providing a fair return Providing economic benefits Protecting resources used Being honest to owners	Waste Management Payment of taxes on time Contribute to employment Green Products

Business Social Responsibility

Importance of fulfilling social responsibility by a business

- ✓ High reputation/image and goodwill
- ✓ Can earn trustworthiness of the external parties
- ✓ Enhance consumer loyalty and satisfaction
- ✓ Ensure business trust

Sustainable Development

Sustainable development is the development which meets, the needs of the present without compromising the ability of the future generations to meet their own needs.

Three Pillars of Sustainable Development

Economic Sustainability
Improving human welfare by enhancing the quality of life, and reducing the consumption of resources.
Business Contribution to Economic Sustainability - Offer job opportunities - Contribute to economic development - Focus on innovation - Efficient usage of resources and capital
Environment Sustainability
Responsible management of natural resources to ensure they remain available and healthy for future generations
Business Contribution to Environment Sustainability - Produce eco-friendly products - Not wasting the limited resources - Implementing 4R concept - Minimizing pollution
Social Sustainability
While human needs and wants can be fulfilled at a high standard, there shouldn't be corruption or violation of others' rights to do so
Business Contribution to Social and Cultural Sustainability - Promoting equality - Safeguard human rights - Contribute towards peace - Protecting local customs, traditions and culture

4R Concept in Waste Management

1. **Recycle**
   - **Up cycle (Lower value →higher value)**
   - **Down cycle (Higher value → Lower value)**
2. **Reuse**
3. **Reduce**
4. **Replace**

Adverse effects of business activities

- Misleading customers
- Wasting resources
- Polluting the environment
- Being unfair to the environment
- Destroying the culture
- Importing and selling poor quality products

Ethics

Ethics can be known as the moral guidelines that differentiates between what is good and bad or right and wrong.

Importance/ benefits business can earn by following ethics

- ✓ To earn good reputation
- ✓ To get credibility and trust
- ✓ To obtain the respect of the society
- ✓ Enhances business value

Business Ethics related to financial managers	Business Ethics related to Human Resource managers
- Accuracy in financial reporting - Avoiding unnecessary expenses - avoid malpractices and fraudulent activities	- Fair recruitment - Fair Salary/Wage - No discrimination within the company
Business Ethics related to marketing	**Business Ethics related to production**
- Provide correct information - Do not mislead the consumers - Ethical advertising	- Using high quality materials - Implementing 4R - Not wasting limited resources

Code of Ethics/Code of Conduct is a set of principles, codes and ethics a particular business has decided to follow and implement in all their business activities and functions.

Factors to be considered when forming code of ethics

- Nature of business
- Customers
- Employees
- Competitors
- Culture of the organization
- Practicability

UNIT 03 Government and Business

Government – An institution that governs the entire economy

Levels of government influences on businesses

- Central government
- Provincial council
- Local authorities

How the government interferes in businesses

- ✓ By providing infrastructure
- ✓ By being a competitor
- ✓ By being a customer
- ✓ By forming policies
- ✓ By being a tax collector
- ✓ By being an incentive provider
- ✓ By imposing rules and regulations

Reasons for the government to interfere and influence on business activities

1. Manage economic activities
2. Encourage and support small medium enterprises
3. Control monopoly market behavior
4. Protect the consumers
5. Protect the environment
6. Provide infrastructure facilities
7. Provide welfare activities

Economic goals

1. **Economic growth** – Increase in GDP
2. **Economic development** – Over all development of the country
3. **Price stability** – Little to no change in the economy over a period time
4. **Economic Stability** – Endure without crisis
   - **Internal price stability**
   - **External price stability**
5. **Full employment** – Efficient use of all labour resources
6. **Fair income distribution** – Equal distribution of income
7. **Favorable international trade** – Balance between imports and exports
8. **Sustainable development** – development that meets the needs of the present without compromising the ability of the future generations to meet their own needs

Business contribution to achieve economic goals

1. Production of goods and services
2. Employment opportunities
3. Payment of taxes
4. Following the policies
5. Minimizing the damages to the environment
6. Following the rules and regulations

Government Policies

- Fiscal Policy
- Monetary Policy

Fiscal Policy – Related to government budget

Government Budget – explains the forecasted income and expenditure of the government over a period of time (usually 1 year)

- **Surplus budget**: Government Revenue > Government Expenditure
- **Deficit budget**: Government Revenue < Government Expenditure
- **Balanced budget**: Government Revenue = Government Expenditure

Government Revenue/Income

- **Tax Revenue**
  - **Ability to shift**
    - **Direct Tax**
      - ✓ Income tax
      - ✓ Corporate tax
      - ✓ Capital gains tax
    - **Indirect Tax**
      - ✓ Value added tax (VAT)
      - ✓ Custom duties
      - ✓ Excise duties
  - **Taxation System**
    - → **Progressive Tax**: Taxable Income ↑ Tax rate ↑
    - → **Regressive Tax**: Taxable Income ↑ Tax rate ↓
    - → **Proportional Tax**: Same amount of tax from everyone
- **Non tax revenue**
  - ✓ Charges and Fees
  - ✓ Lottery
  - ✓ Profits and Dividends
  - ✓ Interest Income

Different forms of tax incentives

- **Tax free** –Business not liable to pay tax until further notice
- **Tax rebate** – Government paying back the taxes to the business
- **Tax exception** – Pay tax at a low % compared to other businesses
- **Tax holiday** – Not liable to pay tax for a specific time period

Government Expenditure

- **Recurring/current expenditure**
  Expenditures that are incurred again and again within a year to maintain continuous government services
  Examples: - Salaries and wages
  - Payment of interest
- **Capital expenditure**
  Expenditure that are incurred for long term investment by the government
  Examples: - Construction of main roads
  - Construction of bridges

Impact of fiscal policy on business

- ✓ Increase/decrease in demand when there is a decrease or increase in tax
- ✓ Impact on sales, revenue and profitability due to change in tax
- ✓ Impact on the level of production due to the changes in the tax and government expenditure

Monetary Policy – Executed by the central bank of sri lanka on behalf of the government to control money (Aim is to maintain stability of the price of a national economy)

Money supply can be described as the total sum of notes and coins circulated within the nation.

Instruments that are used under monetary policy

- **Interest rates** – To control money supply

Money supply ↑	Interest Rate ↓	Money supply ↓	Interest Rate ↑

Negative relationship between money supply and interest rate

1. **Standing deposit facility rate (Repo rate)**
   Interest rate paid when commercial banks and primary dealers invest their surplus funds in the government securities.
2. **Standing lending facility rate (Reverse repo rate)**
   Interest rate charged by the central bank when commercial banks and primary dealers obtain funds by pledging government securities that they hold in central bank.
3. **Bank interest rate**
   Interest rate that the central bank charges from commercial banks who have obtained loans for liquidity issues

- **Changing statutory reserve requirement** – Amount of deposit that commercial banks must maintain in central bank relevant to the deposits they hold in them is the statutory reserve
- **Open market operations** – Buying and selling of government securities by central bank is known as open market operations.
- **Changing the discount rates**
- **Imposing credit limits**
  - ➔ **Quantitative conditions/restrictions**
  - ➔ **Qualitative conditions/restrictions**

Impact of monetary policy on businesses

- Increase/decrease in demand when there is a decrease or increase in money supply
- Impact on sales, revenue and profitability due to changes in money supply
- Impact on the level of production
- Uncertainties over the price level
- Impact on the cost of production related to the business

Consumer Protection

A legal cover that ensures customer receives sufficient satisfaction for the money he pays.

Reasons for the need for consumer protection

- ✓ Malpractices in the market
- ✓ Globalization
- ✓ Abundance of goods and services in the market
- ✓ To increase the awareness

Advantages of Consumer protection

To the Consumers	To the Businessmen
- opportunity to consume products that give a value to the paid money - protected from trade malpractices - Ensures consumer health and protection	- Consumer trust can be gained - Creates a favorable business environment - Reduction of waste since standards are followed

Internationally accepted consumer rights

Implemented by John F. Kennedy **(HICS)**	Declared by Consumer International **(HERB)**
✓ Right to be heard ✓ Right to be informed ✓ Right to choose ✓ Right to safety	✓ Right to live in a healthy environment ✓ Right to consumer education ✓ Right to redress ✓ Right to satisfy basic needs

Consumer Responsibilities

- ✓ Critical awareness
- ✓ Active participation
- ✓ Social concern
- ✓ Environmental awareness
- ✓ Cooperation

Methods consumers are protected through

- ➔ Self-protection
- ➔ Government acts
- ➔ Consumer unions

Measures taken by the government to protect consumers

- ✓ Rules and regulations on consumer protection
- ✓ Setting up of consumer protection institutes
- ✓ Encouraging and promoting consumer education
- ✓ Consumer organizations
- ✓ Government intervention on market

Government institutions that work for consumer protection

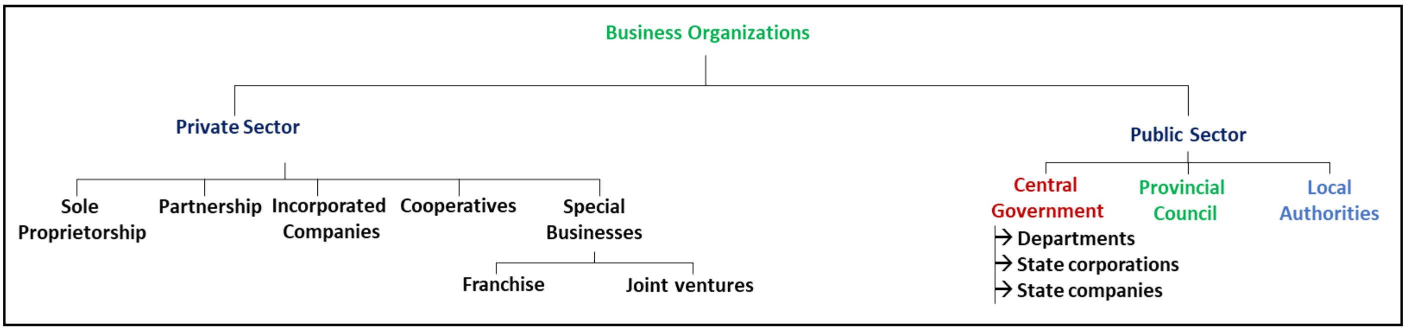
- Consumer affairs authority
- Sri Lanka standards institution
- Measurement Units, standards and services department
- Central Environmental Authority
- Office of the Divisional Medical Officer of Health
- District Secretariat Office

Consumer Affairs Authority	
Goals	**Importance**
-Protect consumers from dangerous products - Protect consumers against unfair trade practices - To seek redress against unfair trade practices -To ensure consumers have adequate access to goods and services at competitive prices	- Consumer trust is gained for focusing on protecting consumer rights - Minimizing unwanted competition among businesses - Minimizing legal situations that businessman has to face - Ability to compete fairly since no monopoly conditions are created

Sri Lanka Standards Institution		
Aims	**Importance to businesses**	**Functions**
- Prepare standards on the national and international basis in relation to production - Implement a certificate marks scheme - Provide research facilities for the activities of standardization and quality control - Maintain laboratories and library services for the purpose	- Ability to face competition by selling products with SLS mark - Ability to minimize customer complaints - Increasing the productivity while minimizing the waste - Ability to succeed in international trade through obtaining ISO certification	- Formulates standards - Implementing ISO standards - Organizing training programs on standardization and quality control - Promoting standardization and quality control activities - Popularizing consumer education

Standard	Subject
ISO 9001	Quality Management systems
ISO 14001	Environment management system
ISO 20121	Sustainability
ISO 22000	Food safety management systems
ISO 26000	Social Responsibility
ISO 27000	Information security management systems
ISO 31000	Risk Management
ISO 50001	Energy Management systems
HACCP	Hazard Analysis Critical Control Points
OHSAS	Occupational health and safety management systems
GMP	Good Manufacturing Practices
PCST	Products quality scheme for Tea
Energy Rating	Rates the power consumption of electric items

UNIT 04 Business Organizations



Sole Proprietorship

One individual taking up the complete effort and risk to commence the business.

Characteristics

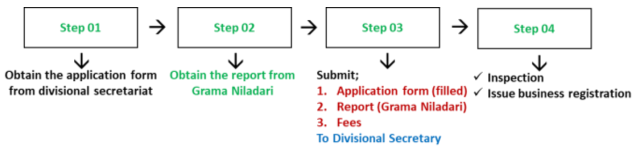
- ✓ Owner makes the complete investment
- ✓ Owner retains full control
- ✓ Faces risks alone
- ✓ Easy to commence
- ✓ Owner makes all the decisions
- ✓ Accounting is not compulsory

Advantages	Disadvantages
- Easy to commence - Low capital requirement - Can maintain close relationship with customer - Minimal legal implications - Complete profit belongs to owner - Business information can be kept confidential - Full control and decision making is retained by the owner - Registration of the business is not compulsory	- Unlimited liability - No legal personality - No greater continuity - Capital availability is limited - Losses borne alone - Success or failure of the business depends on the capability of the owner - Business heavily rely on one person (Owner)

According to the **Business Name Ordinance No.06 of 1918**;

- If the business name is the owners full name registration is not mandatory
- If the business name is different from the owner's full name it should be registered

Registration Procedure



Partnerships

A business formed by two or more people (2-20) to carry on a business together, with shared capital investment and usually shared responsibilities

Partnership Ordinance 1890 defines partnership as the relationship between individuals who carry out a business with a profit motive.

Characteristics

- ✓ 2 – 20 Partners
- ✓ Presence of agreement between partners
- ✓ Agreement on profit sharing
- ✓ Mutual agent

Advantages	Disadvantages
- Easy to commence - More capital compared to sole-proprietorship - Losses and liabilities can be shared between partners - Responsibilities can be shared between partners - Can make use of multiple skills from different partners - Can be dissolved easily	- No separate legal entity - Unlimited liability - No greater continuity - Disputes may occur between partners - Delay in decision making - Entire business along with all the partners are liable to the conduct of a single partner

Registration process of the partnership is similar to the registration process of the sole proprietorship

Types of Partnership Agreements – Written, Verbal, Implied

Information in a partnership deed/Agreement

- Capital invested
- Profit/Loss sharing ratio
- Salary
- Drawings and interest on drawings
- Interest on capital
- Working arrangement

Types of Partners

- **Active/Managing partner** (Responsible to manage the business)
- **Dorman/Sleeping partner** (Only investment, No management)
- **Nominal partner**(no investment, no management, only name used)
- **Partners in profits only**
- **Minor partner**

Incorporated Companies

A collection of individuals incorporated under the **Companies Act No. 07 of 2007** can be introduced as a company.

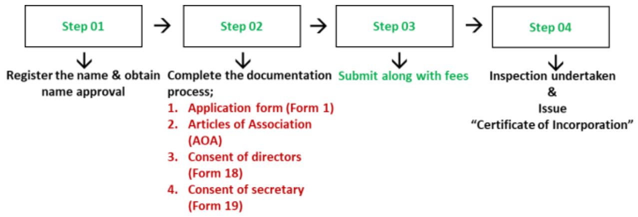
These companies can raise finance by issuing shares, owners of these limited companies are known as the shareholders.

Characteristics

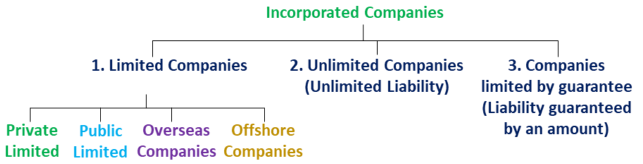
- ✓ Companies are registered
- ✓ Separate legal entity
- ✓ Greater continuity
- ✓ Limited liability
- ✓ Involves shares & shareholders
- ✓ Managed by Board of Directors

Advantages	Disadvantages
- Separate legal entity - Limited liability - Greater continuity - Significant capital can be raised - High status and credibility - Easy to obtain loans	- Not easy to commence - High level of regulations involved - Confidentiality of business is very low - Minor shareholders don't have the power to influence - Double taxation apply - High level of complexity, process and procedures involved

Incorporating/Registering Procedure



1. **AOA –** A document that define the purpose of a company and specifies the regulations of operations
2. **Certificate of Incorporation –** a legal document/license relating to the formation of a company or corporation
3. **Prospectus –**Invitation to buy shares
4. **Proxy –** The authority to represent original shareholder in voting



1. **Limited Companies** – Shareholders liability is limited to amount paid or agreed to pay, in respect of the shares purchased

1.1 Private Limited Companies (Pvt) Ltd – Cannot issue shares to public

Characteristics

- ✓ Minimum 1 and maximum of 50 shareholders
- ✓ Capital invested through purchase of shares
- ✓ Shares cannot be sold to general public
- ✓ Profits can be distributed as per the desire of all shareholders
- ✓ Minimum 1 director

Advantages & Disadvantages (Similar to the common advantages and disadvantages of Incorporate Companies except for the advantage significant capital can be raised and disadvantage confidentiality of business is low)

Additional Disadvantages

- Cannot issue shares to the general public
- Transfer and selling of shares is complicated and involves formalities

1.2 Public Limited Companies (PLC) – Can issue shares and debentures to the public

Characteristics

- ✓ Minimum 1 shareholder, Maximum unlimited
- ✓ Shares can be sold to the public
- ✓ Minimum 2 directors

1. **Listed Public Companies (Quoted Companies)**
   A company listed in Colombo Stock Exchange
2. **Unlisted Companies (Unquoted Companies)**
   Companies that are not listed in Colombo Stock Exchange

Additional Advantages other than mentioned in the common Advantage of Incorporated Companies

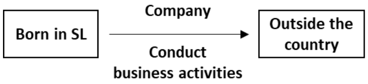
- Transfer and selling of shares is an easy process

Criteria	Private Limited	Public Limited
No of Shareholders	1 - 50	1/ Unlimited
No of directors	Minimum 1	Minimum 2
Management	BOD (Can be shareholders as well)	BOD (Separately appointed panel)
Name	(Pvt) Ltd	PLC

1.3 Offshore Companies

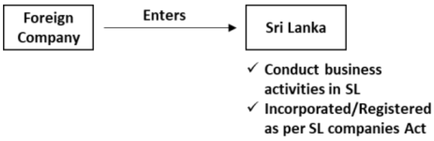
A company incorporated in a particular country but carrying on its business activities outside the country

Examples:



1.4 Overseas Companies

Companies that are incorporated under a foreign company act but registered again under companies act of Sri Lanka with the intention of carrying out business activities in Sri Lanka.



2. Unlimited Companies – The liability of the shareholders is unlimited (According to the AOA, the liability of shareholders not being limited to the value of the shares issued)

3. Companies Limited by guarantee – Where an issue of shares does not take place, but the liability of the members is limited to a guaranteed amount as stated in the AOA

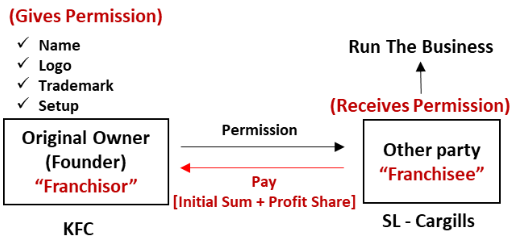
Characteristics

- ✓ Issue of shares does not take place
- ✓ Minimum 2 members and maximum unlimited
- ✓ Company established focusing on social or public purpose
- ✓ Sharing of profits is not exercised

Franchise Business Model

A business in which the owners sell the rights of their business logo, name, and model to third party in return for a combination of a flat fee and plus fees based on profit or sales

Example:



Responsibilities of a Franchisor	Responsibilities of a Franchisee
- Granting permission - Provide training - Provide marketing support - Provide financial assistance - Supply relevant equipment/goods	- Making the capital investment - Act in accordance with the conditions of franchisor - Purchase raw materials from suppliers authorized by franchisor - Be honest and trustworthy

1. **Business format franchises**

This is where the franchisee receives permission to carry on the business following franchisor's procedure and brand name

Examples: KFC, McDonalds, Pizza hut, Burger King

2. **Product franchises**

This is where the franchisee receives authorization to purchase goods from the franchisor with brand name and to resale them

Examples: IOC Fuel stations, Automobile Industry

3. **Manufacturing franchises**

This is where the franchisee receives the authorization of manufacturing and distributing the products under the franchisors brand name

Examples: Coca Cola, Pepsi

Benefits & Limitations of franchise business to the franchisor

Benefits	Limitations
- Expansion without investment - Immediate returns with low level of involvement - Increased brand recognition, value and goodwill - Marketing cost can be apportioned and shared - Increase in the overall eco system of the business	- If the business is unsuccessful it can result in losses or reduce profits - Higher proportion of returns will be retained by the franchisee - Can suffer from reputation damage that can result in loss of good will and value

Benefits & Limitations of franchise business to the franchisee

Benefits	Limitations
- Chances of business failure is very low - Can easily attract customers due to high recognition and goodwill - Can obtain marketing support from the franchisor - Can obtain raw materials of minimum price	- Should adhere to the conditions imposed by the franchisor via the agreement - Success of the business is not always guaranteed - Will have to pay a significant initial amount to the franchisor

Business Combinations - Two or more separate organizations joined up together

- **Mergers (amalgamation) –** two or more companies are converted into a single business entity
  A merger involves a new firm being created
- **Acquisitions –** One company purchases a majority of the ordinary share capital of the other company.
  Acquisitions involves one firm being acquired by another

Horizontal Combination	Vertical Combination	Conglomerate Combination
- Same industry - Same stage of production *Example:* *Car Manufacturer* *+* *Car Manufacturer*	- Same Industry - Different stages of production	- Different industry *Examples:* *Education* *+* *Banking Business*

Vertical Combination

Forward
(Moving closer to customer)
Examples:
Car Manufacturer
+
Car Retailer

Backward
(Moving away from customer)
Examples:
Car Manufacturer
+
Car parts supplier

Joint Ventures

This involves 2 or more companies agreeing to work together on a temporary or permanent basis

Example: Dialog and Asiri hospitals had a joint venture to promote and boost e-commerce in the health care industry

Co operatives

A type of organization in which the company is owned and controlled by individuals in the organization and operates to satisfy the needs of members

Co-operative policies as per 1995 General Assembly of the International Co-operative Alliance held in Manchester;

- ✓ Voluntary and open membership
- ✓ Democratic control of members
- ✓ Member economic participation
- ✓ Autonomy and independence
- ✓ Co-operative education, training and provision of information
- ✓ Co-operation among co-operatives regionally, nationally and internationally
- ✓ Concern for the community

Characteristics

- Independent organization
- Collective ownership of members
- Democratic control
- Equal power
- Common needs and expectations
- Profit making is not the initial objective. However, if surplus is generated it will be distributed to the members
- Individuals get together and commence co-operatives on a voluntary basis

A co-operative society is registered under the co-operative development commissioner of the co-operative development in accordance with the **co-operatives societies Act No. 05 of 1972**

Procedure of Registering

Any 10 people who are above 18 may apply to the co-operative development commissioner together with the following;

Step 01 → Step 02 → Step 03

Step 01 ↓
Submit the documents;
1. **Certificate confirming the members participation and fees**
2. **Minutes of meeting**
3. **02 copies of interim constitution**
4. **Feasibility**
5. **Route Map → Direction to the office**
6. **Application from**

To Divisional Secretary

Step 02 ↓
Review (Check)

Step 03 ↓
Registration certificated will be issued

Advantages	Disadvantages
- Can commence with low investment - All members are equal - Mutual co-operation and support - Can engage in different business activities	- Incapable individuals will be appointed to manage - Limited capital availability - Operates only for a limited time in a day - Restricted to the cooperative policies

Proposals for the development of co operatives

- ✓ Expanding the business hours
- ✓ Expanding government support
- ✓ Arranging showrooms for consumer attraction
- ✓ Increasing the benefit of the members

Modern Trends in the Cooperatives businesses

- ✓ Usage of latest technology
- ✓ Self service outlets
- ✓ Usage of electronic money
- ✓ Setting up Co-operatives in new business fields

Public sector organizations – Owned and controlled by the state/government. Carried out with social welfare motive.

Features

- ✓ Government ownership
- ✓ Government management
- ✓ Reliance on strict regulation procedures
- ✓ Public accountability

Reasons for State to involve in business activities

- ✓ To prevent emergence of monopolistic firms
- ✓ To control pricing levels in the market
- ✓ To continue large scale infrastructure development projects

1. State/ Public Corporations/Statutory boards

Created by the parliament by a general or a special act. Capital is funded completely or partially by the government in the form of investment, grant or loan.

Examples:

- *Sri Lanka Petroleum Cooperation*
- *Sri Lanka Transport Board*

Characteristics

- ✓ Controlled by Board of Directors appointed by the government
- ✓ Services are offered to the public at minimum price
- ✓ Having a legality
- ✓ Focused upon social welfare

2. Government Departments

Completely organized, managed and financed by the government

Examples:

- *Education department*
- *Agriculture department*

Characteristics

- ✓ Direct government control through a ministry
- ✓ Mostly involved in provision of service
- ✓ All activities are conducted via strict regulations and court
- ✓ Does not have legality
- ✓ Funds allocated by government budget

3. State Companies

51% or more of the paid-up capital is held by the government

Examples;

- *Sri Lanka Telecom*
- *Litro Gas*

Characteristics

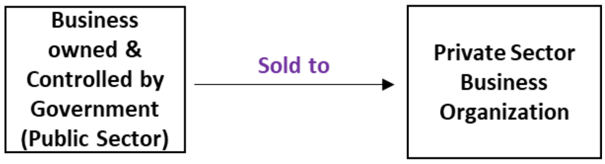
- ✓ Incorporated as per the Companies act no. 07 of 2007
- ✓ 51% or more belongs to the government

4. Businesses under the Provincial Councils and Local Authorities

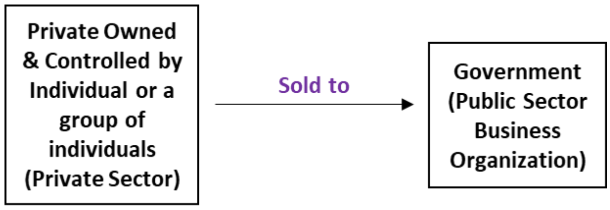
Characteristics

- ✓ Relates to a relevant local area
- ✓ Owned by local government authority
- ✓ Fund allocated by local or central government
- ✓ Managed & Administered by the local government

Privatization



Nationalization



UNIT 05 Entrepreneurship

What is Entrepreneurship?

- It is the process of innovation and managing risk by identifying business opportunities and satisfying human needs.
- The individual who involves innovation, manages the risk, mobilizes resources and manages the resources to achieve a certain return (Entrepreneur is the individual who involves entrepreneurship).

Importance of Entrepreneurship

- ✓ To create new jobs opportunities
- ✓ To produce goods and services to increase GDP
- ✓ To transform business with the adoption of new technology
- ✓ To improve the quality of life

Relationship between Entrepreneurship and Business

Entrepreneurs can be considered as businessmen because they produce goods and services to satisfy human needs and wants similar to businesses.

Not all businesses can be considered as entrepreneurship because not all businesses engage in new innovations, managing the risk and utilizing opportunities like entrepreneurs

Differences between Entrepreneur and Businessmen

Entrepreneur	Businessmen
Innovative	Thinks traditionally
Takes risks	Works with safety
Starts business with own concept	Starts business with existing idea
Business rival is himself	Other businesses are the rivals

Benefits of Entrepreneurship

Personal/Individual Benefits
- Opportunity to make best use of individual skills - Increased emotional satisfaction - Personal financial capability and benefits - Recognition
Business/Institutional Benefits
- Continuous development - Expansion of business activities - Being able to face competition - Expansion of market share
Social and Economic Benefits
- Creation of new employment opportunities - Developing the standard of living - Utilizing local resources in production - Improving the quality of products

Contribution of Entrepreneurship to Economic Development

- ✓ Increase in national production due to new innovations
- ✓ Increase in level of employment by providing job opportunities
- ✓ Development in economy due to new business arose from entrepreneurship

Trends in Entrepreneurship

1. **Global Entrepreneurship –** Trading their products to the world.
2. **Social Entrepreneurship –** Innovating for the purposes of serving the society.
3. **Green Entrepreneurship –** Doing activities following the core concept of protecting the environment.
4. **Intra Entrepreneurship –** Allowing entrepreneurs to act like an entrepreneur within the organization through their creativity.

Entrepreneurial Process

1. **Discovery –** Generating ideas and identifying opportunities through environmental study.
2. **Concept development and business plan –** A plan that presents a detailed program which clarifies the business idea.
3. **Resourcing –** Identifying and acquiring financial, human and physical resources needed to start a business
4. **Actualization –** Carrying out the operational activities and using resources to fulfill the aims of the business
5. **Harvesting –** Taking decisions regarding the future growth and development of the business

Entrepreneurial Characteristics	Entrepreneurial Skills
✓ Willingness to take risks ✓ Creativity ✓ Commitment ✓ Self-confidence ✓ Self-reliant	✓ Leadership skills ✓ Interpersonal skills ✓ Communication skills ✓ Basic Management skills

Ways to develop Entrepreneurial characteristics and skills

- ✓ Self-evaluation
- ✓ Training
- ✓ Education
- ✓ Profiting from experience

UNIT 06 Small & Medium Scale Businesses

SME's are identified through a logical comparison between businesses

Different criteria's are used to categorize SME's & Large scale businesses

Quantitative Factors	Qualitative Factors
- Amount of capital invested - Number of employees - Annual turnover (Sales) - Amount of energy used	- Type of business organization - Technology in use - Nature of the market

Institution's Criteria

01. Capital
- Industrial development board
- Institute of Industrial technology
- Small Industries department

Does not exceed 4 million

- Ministry of Industrial development → Does not exceed 20 million

02. Employees
- Department of census and statistics → Less than 25 employees
- Ministry of rural industries development → Less than 50 employees

03. Electricity
- Central Bank of Sri Lanka → Less that 50Kw

People are interested in starting SME's instead of Large Scale businesses due to following reasons;

- Can commence with limited capital
- Easy to start
- Easy to control and manage
- Can maintain good relationship with customers
- Can learn and grow over the time periods

Factors to consider when starting and continuing SME's

- Availability of capital
- Possibility of entering the market
- The type of business organization
- Existing rules and regulations

Characteristics of SME's

- Low initial capital investment
- Low market share
- Limited product portfolios
- Low number of employees in the organization

Contribution of SME's towards economic development

- Employment opportunities for the citizens
- Contribution to the output of the economy (GDP)
- Utilization of local resources efficiently
- Payment of taxes to the government

Reasons for success of SME's	Reasons for Failure of SME'S
- Political and economic stability - Existence of a broad market - Good management - Existence of adequate infrastructure facilities	- Financial problems - Absence of business plan - Poor management - Lack of sufficient marketing skills - Lack of information and access to new technology

Importance of entrepreneurship for the success of SME's

- ✓ The beginning of a business is risky and this can be minimized through the risk management abilities of the entrepreneurs.
- ✓ The business becomes successful mainly on the commitment and interest of the entrepreneur.
- ✓ The self-confidence and determination of the entrepreneur has a direct impact on the success of small and medium scale businesses.

Incentives provided by government to SME's

Financial Incentives	Non-financial Incentive
- Financial assistance - Short term & Long term loans - Tax incentives Refinancing facilities	- Advisory services - Provide market facilities - Providing infrastructure - Offering awards and providing recognition

Different institutions and the support they provide

Organisations	Incentive provided
National Entrepreneur Development Authority	• Provide financial assistance • Conducting entrepreneur development training workshops.
Small and Medium scale entrepreneurship board	• Provide foreign market facilities
Industrial Development Board	• Advisory services • Provide technical knowledge • Infrastructure facilities
Export Development Board	• Marketing facilities • Advisory services
Sri Lanka Standards Institution	• Advisory services
National Development Bank	• Provide financial facilities
Industrial Technological Institute	• Provide technical knowledge • Provide advisory services
Sri Lanka Small and Medium scale Industrial Board	• Financial facilities • Offering excellence awards.

Projects to provide incentives to SME's

1. Suwana: Funded by JBIC, this National Development Bank project provides loans to small industry entrepreneurs. (3rd stage ongoing)

2. Shanya: Asian Development Bank funded loan scheme implemented by DFCC and commercial banks for development projects.

3. Sanasa Loan Project: Provides loans for agriculture, livestock, and small industries, supported by National Development Trust Fund.

4. Co-operative Rural Bank Loans: Loans for agriculture, fisheries, and trade, administered by the Co-operative Society.

5. Samurdhi/Divineguma Loan Scheme: Government-supported loans for beneficiaries of Samurdhi/Divineguma.

6. Agrarian Bank Pilot Project: Loans for farmers from the Ministry of Agriculture's Agrarian Development Department.

UNIT 07 Money & Financial Institutions

Importance of Using Money

Money – Anything which is acceptable in common in exchange for goods and services

The functions of money

- Medium of exchange - Measure of value
- Store of value - Standard for deferred payment

Characteristics of good money

- Acceptability - Having a general recognition
- Durability - Difficulty in imitation
- Portability - Divisibility
- Easy identifiability/homogeneity

Types of Money

1. Currency – Notes & Coins
2. Bank money – Current account deposits
3. Near money - Savings deposit, Time deposit
4. E-money – Debit card, Credit card, Smart card

Services/ Facilities available to make card payment methods convenient

✓ Automated Teller Machine (ATM)
✓ Automatic Deposits Machine (ADM)
✓ Cheques Deposits Machines (CDM)
✓ Electronic Funds Transfer point of sales
✓ Telebanking facilities
✓ Internet banking (online banking)
✓ Television banking

There is an upward trend in e-money transactions and decrease in cash and cheque transactions. The reasons for the increase in e-money transaction includes:

- Convenience - Recognition for e-money
- Interest free loans - International facilities
- Special offers

System of Financial Bodies

Financial Institutions

Banking Sector	Other Financial Institutions	Specialized Financial Institutions	Contracted Savings Institutions
1. Central bank	1. Licensed finance companies	1. Specialized financial leasing companies	1. Insurance companies
2. Licensed commercial bank	2. Cooperative rural banks	2. Primary dealers	2. Employee provident fund
3. Licensed specialized bank	3. Thrift & credit cooperative societies (SANASA)	3. Share brokers	3. Employee trust fund
		4. Unit trust management companies	4. Approved pension & provident Funds
		5. Market intermediaries	5. State service provident fund
		6. Venture capital companies	

1. **Central Bank of Sri Lanka** – The main institution that performs its activities as an agent of the government, implementing the financial policies of the country.
2. **Licensed Commercial Banks** – Financial institutions that maintain current accounts and other savings accounts with the ability of creating money
   Examples:
   Private – HNB, Sampath Bank, Commercial Bank
   Government – Bank of Seylon, People's Bank
3. **Licensed Specialized Banks** – Special type of institutions licensed by the Central Bank of Sri Lanka under the Banking Act. They cannot operate current accounts but are allowed to accept savings accounts and time or term deposits.
   Examples: National Savings Bank, Sri Lanka Savings
   How licensed specialized bank contribute to business
   ✓ Accepting time and savings deposits
   ✓ Providing loans to entrepreneurs
   ✓ Underwriting of company shares
   ✓ Providing leasing facilities
4. **Licensed Finance Companies** - These are public companies licensed by the Central Bank of Sri Lanka under the Finance Act. They accept time deposits and offer investment loan facilities based on the funds raised.
   Activities of licensed finance companies
   ✓ Provide hire-purchase facilities
   ✓ Sale of land and property
   ✓ Providing short-term loans
   ✓ Investing in public state securities
   Examples: L.B Finance PLC, Singer Finance PLC
5. **Co-operative Rural Banks** - This is the banking sector of multi-purpose co-operative societies, which provides loans to members and accepts time and fixed deposits from both members and non-members.
   Activities of Co-operative Rural Banks
   ✓ Providing loan facilities to members for agriculture, manufacturing, and industrial marketing activities
   ✓ Receiving deposits from members and non-members
   ✓ Maintenance of savings and fixed deposit accounts
   ✓ Pawning activities
6. **Thrift and credit Transaction Co-operative Society (SANASA)** - A cooperative registered under the Co-operatives Act provides loans to members using savings and membership shares, aiming to encourage savings and offer loans.
   Activities performed by SANASA societies
   ✓ Operating centers to market members' products
   ✓ Marketing equipment at concessionary prices.
7. **Specialized Leasing Companies** - These companies, registered with the Central Bank, focus on providing leasing facilities to businesses. Their main income comes from rent collected through leasing.
   Benefits gained by businessmen from leasing company
   ✓ Use high-value assets without full upfront payment
   ✓ Lease rent is exempt from income tax
   ✓ Overcome losses from asset obsolescence
   ✓ Ability to earn higher returns with low investment

8. **Primary Dealers -** The primary market is where government securities are first sold, and firms approved by the Central Bank of Sri Lanka to participate are called Primary Dealers.
   Example: Capital Alliance Co, Bank of Ceylon, Sampath Securities Co, Ceylinco Sriram Securties Co
9. **Share Brokers -** Organizations that act as mediators for buying and selling of shares and debentures in incorporated companies is known as broker companies.
   Activities of share brokering companies

- ✓ Accepting buying and selling orders from investors
- ✓ Opening accounts in the Central Depository System for investors.
- ✓ Reports on surveys conducted in the share market
- ✓ Assist with the listing companies

10. **Unit Trust Management Company -** A unit trust pools investor funds, managed by professionals, with profits distributed to investors based on their units. Trustees ensure the fund meets its goals.
    Parties consisting in a Unit Trust

- ✓ Unit trustee
- ✓ Fund management company
- ✓ Unit holders or investors

11. **Market Intermediaries –** Parties that facilitate the flow of financial instruments between buyers and sellers, charging a service fee for their mediation

1. **Underwriters**
2. **Investment Managers**

- ✓ Issuing of investment Applications
- ✓ Provide advices
- ✓ Allocation of securities to investors

3. **Marginal suppliers are the organizations involved in debt collecting on behalf of the supplier and providing with factoring services, also known as debt factoring**

12. **Venture Capital Companies -** These companies specialize in meeting the capital needs of new entrepreneurs, providing funds for starting and expanding businesses, acquisitions, and underwriting or loan syndication.
13. **Insurance Companies -** Insurance companies raise funds by issuing policies and provide financial intermediary services, lending in the financial market and making investments. Insurance is a means of protection from financial risks.
14. **Provident and Pension Funds -** Provident and pension funds are retirement plans. Pension funds, or defined-benefit plans, are provided by employers and governments, offering retirement benefits based on a portion of working income. Both types are managed by state and private sectors.

1. **Pension**
2. **Employee Trust Fund (ETF)**
3. **State Service Provident Fund**
4. **Employee Provident Fund (EPF)**

Central Bank of Sri Lanka

Established on August 28, 1950, under the Monetary Act No. 58 of 1949, the Central Bank of Sri Lanka implements government financial policies. Its founder was Governor John Exter, and it is overseen by a monetary board of five members, including the Governor and the Finance Ministry Secretary.

Vision – A credible and dynamic central bank contributing to the prosperity of Sri Lanka

Mission – Maintaining economic and price stability and financial system stability to support sustainable growth through policy stimulation, advice, commitment and excellence

Value of CBSL – Integrity, Accountability, Transparency, Commitment to inspirational leaders

Main objectives of Central Bank of Sri Lanka

1. Maintain economic and price stability

Price stability ensures currency value through low inflation, leading to better economic performance, lower interest rates, and increased growth and employment. The Central Bank uses monetary policy to control inflation.

2. Maintain stability of the financial system

A stable financial system supports depositors and investors, promotes efficient intermediation, and drives economic growth. It functions effectively without crises, while instability arises from bank failures and market disruptions. Stability requires a strong macroeconomic environment, effective regulations, sound institutions, and robust payment systems.

Functions of the Central Bank

- ✓ Conduct/manipulation of monetary policy
- ✓ Conduct/manipulation of exchange ratio policy
- ✓ Management of Sri Lanka's official foreign reserves
- ✓ Issuing and distribution of the currency in use
- ✓ Working as the supervisor of banks & non-banking institutions

Agency activities of Central Bank

- ✓ Management of state loans
- ✓ Foreign exchange controls
- ✓ Laundering and Terrorist Financing
- ✓ Management of Employees Provident Fund

Different support elements to business organizations

- ➢ Sri Lanka interbank payment system (SLIPS) & Lanka Clear Private Co. Ltd
- ➢ Society for worldwide inert bank financial telecommunication (SWIFT)
- ➢ Real time gross settlement system (RTGS)
- ➢ Script less securities depository system (SSDS)
- ➢ Lanka settle system (RTGS + SSDS)

Impact of deposits & loans provided by commercial banks

Public → Deposit Money → **Bank** → Provide Loans / Interest charged → Public

Services related to deposits

1. **Savings deposits -** This type of account encourages savings and earns interest on the balance. Deposits and withdrawals can be made at any time, often using teller (debit cards)
2. **Fixed deposits –** A fixed deposit offers a higher, fixed interest rate for a set period and is considered one of the safest investment options.]
3. **Current Account/demand deposits -** A non-interest account with cheque transaction and possible overdraft facilities, accessible via teller cards.

Benefits for businessmen holding a current account

✓ Ability to make payments through cheques
✓ Ability to obtain remittance facilities
✓ Ability to make payments on standing orders

Services related to loans

Bank will evaluate the following elements prior to approving a loan

- Purpose of the loan - Required amount
- Ability to repay - Applicant's income level
- Terms of payment - Types of security

1. **Bank overdraft -** A bank overdraft lets current account holders issue cheques beyond their balance, up to a set limit. It can be temporary or permanent, with higher interest charged on the overdraft.
2. **Bank Loan -** A loan furnished by a bank at a fixed rate of interest on the condition of repayment
   - ➢ **Business Loans**
   - ➢ **Consumer Loans**

Services offered by commercial banks to businesses

1. **Issue of cheques**
2. **Leasing services**
3. **E-banking**
   - ➢ Home banking
   - ➢ Tele banking
   - ➢ Television banking
4. **Mortgage transactions –** Loans related to properties
5. **Pawning services**
6. **Safety locker facilities**
7. **Agency services**
8. **Purchase and sale of foreign exchange**
9. **Credit card services**
10. **Money remittance activities –** Cross border transfer of money from one country to another
11. **Issue of travelers cheque –** The traveler gives the local currency notes he possesses to the bank who will issue Traveler's cheque for an equivalent subjecting to bank service charges
12. **Issuing letter of credit**
13. **Insurance services**
14. **Automatic banking services**

Advantages to the bank due to automatic baking services

- Cost reduction - Reduction in the rush at bank
- Increase accuracy - Possible to reduce work force
- Increase in banking services result in increased profits

Advantages to customers due to automatic baking

✓ Withdrawal of cash using the teller card (ATM)
✓ Deposit cash in the account
✓ Transferring funds from one account to another
✓ Availability of bill payment facilities

15. **Providing medical services (e-channeling, e-billing)**
16. **Installation of ATM machines in highly populated locations**
17. **Installation of ATM machines that are specially meant to accept cash (ADM) and cheque (CDM) Deposits**
18. **Issuing of letter of guarantee**

Cheques – Written order issued by current account holder to commercial bank asking to pay the amount stated on the cheque to person named or to bearer of cheque

Main Parties involved in a cheque;

➢ Drawer (Account holder)
➢ Drawee (The Bank)
➢ Payee (Who gets the cheque)

1. Date
2. The name of the Bank and branch
3. Payees name
4. The term 'Or Bearer'
5. The value of the cheque in words and figures
6. The word 'Pay'
7. Drawers signature
8. Magnetic Ink Character Recognition Strip (Contains cheque number, Bank ref number, Branch number and account number in order
9. Cheque counterfoil

Factors that should be considered in drawing a cheque

✓ Ink based pen should be used when writing aa cheque
✓ Relevant details should be mentioned in the cheque counterfoil
✓ Only one language should be maintained
✓ Attention must be paid to the date placed on the cheque

Types of cheques

1. **Bearer cheque -** A bearer cheque, with "or bearer" not cancelled, can be transferred without endorsement, much like using currency notes.
2. **Order cheques –** In an order cheque the word bearer is stuck off and it becomes an order cheque. There is a higher safety level in an 'order' cheque over a 'bearer' cheque.

Endorsement of cheques writing the name of the payee on the reverse side of the cheque, exactly as it is stated on the face of the cheque is known as endorsement.

Instances where endorsements are done;

- When the 'Payee' deposits the cheque in his account
- If it is an 'Order' cheque, when it is being transferred
- When a cheque without crossing is presented to the bank counter for encashing

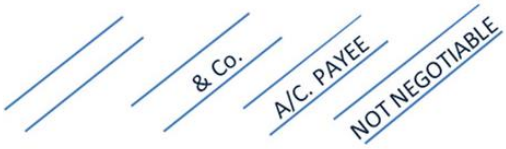
Types of crossings

The necessity to 'cross' a cheque

- This gives on additional safety for the cheque
- To ensure 'payee' stated on cheque receives its value
- To prevent paying to the cheque at the bank counter

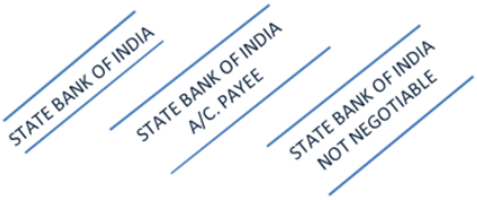
1. **General Crossing –** Drawing two parallel lines across the face of the cheque

Specimen of General Crossing



2. **Special Crossing –** Stating the name of a commercial bank with or without parallel lines. Cheque must be deposited in an account of the bank name stated on it

Specimen of Special Crossing



Instances where a cheque may be dishonored by bank

- Insufficient funds in the account
- Drawer stops the payment
- Drawer becomes bankrupt
- When the drawer dies
- A court order has been passed
- Error in writing the cheque

E- Money

Face

Reverse

Face:
- Name and logo of issuing organization
- Card name
- Card holders name
- Date of expiry
- Brand Logo – VISA, Master Card, Amex
- Type of card

Reverse:
- Signature stripe
- Magnetic stripe
- Card security code
- Issuing organizations name, address and other information
- Customer service hotline

Reasons for popularity of e-money

- Easy to use - Can transact through internet
- Secure - Can gain various offers & privileges
- Can use for both domestic and foreign transactions

Types of e-money

1. **Credit Cards –** Allowing holders to purchase goods and services on credit up to a specified value from authorized dealers.
   Examples
   - **People's Visa – People's Bank**
   - **Seylan Visa – Seylan Bank**
   - **Ceybank Visa – Bank of Ceylon**
   - **Master Card – Sampath Bank**

Advantages to consumer	Disadvantages to consumer
Having an account is not required to obtain a credit card	Encourages unnecessary and unplanned expenditure and consumption
Interest free loan for a given period	Turns out to be a debtor
Entitled to obtain discounts and offers	Having to pay a penalty for late payment

Advantages to business	Disadvantages to business
Money will be received for the credit sales	A commission is payable to the bank
Increase in profit because of high turnover	A special machine has to be installed

2. **Debit Cards –** A payment card that deducts money directly from a consumer's checking account when it is used

Advantages to consumer	Disadvantages to consumer
Cash withdrawals can be done via ATM	It is necessary to have an account
Interest is not payable because it it individuals own money	Value of transaction is limited uptop the balance available in the account
Facilitates local and foreign transactions	

3. **Smart Cards –** A smart card is a device that includes an embedded integrated circuit chip (ICC) that can either be a secure microcontroller or equivalent intelligence with internal memory or a memory chip alone
4. **Pre-paid Cards –** Type of card obtained by making payments in advance
   Examples: Telephone cards and Travel passes

Advantages and disadvantages of electronic cards

Advantages	Disadvantages
Convinience	Encourages unnecessary consumption
Safety	Technical issues and defects
24/7 Availability	Inability and lack of knowledge
Faacilitates local and foreign transactions	Can lead to fraudulent activities and cyber crimes

UNIT 08 Necessity of Insurance

Every business encounters a form of risk. This has to be managed accordingly. Uncertainties or unexpected events may reduce profits and may even cause loss in business

Following features characterizes business risks;

- Uncertainty about the future course of events
- Risk is inherent in the nature of business enterprise
- Profit is the reward for bearing risk
- The degree of risk varies from business to business

Business risks may arise due to natural, economic, human and political causes.

Insurance

This is an option available for the companies to effectively transfer certain risks to another party. This allows the company to avoid financial losses unnecessarily.

Importance and Advantages of Insurance to business

- ✓ Manage the risk
- ✓ To avoid unexpected situations & financial burdens
- ✓ To safeguard and guarantee business existence
- ✓ Expand business operations internationally
- ✓ Act as a form of protection for business

Classification of risk

01. Insurable Risk – Risk that can be insured

Criteria to identify risk are predictability, Casualty (Occurs accidently), Can be verified, not related nor connected.

- ✓ Risk that may cause by buildings catching fire
- ✓ Risk of motor vehicle accidents
- ✓ Damages that happen to money in transit
- ✓ Risk of not receiving money from a debtor

02. Non Insurable Risks – Risk that cannot be insured

- ✓ Business experiencing loss
- ✓ The risk for natural reasons (Depreciation, Expiration)
- ✓ Risk decided by one's ability and strength
- ✓ Risk caused by the change in design

Insurance Agreement – Written agreement between insurer and insured

Insurance Policy – Confirmation certificate given by insurance company to insured

Following should be laid down to validate insurance agreement,

- ➢ Idea of legal obligation/relationship
- ➢ Insurance offer or proposal or contract
- ➢ Acceptance
- ➢ Legal validity/written within a legal framework
- ➢ Ability to have legal obligations by parties

Parties involved in insurance agreement

- First Party (Insured)
- Second Party (Insurer)
- Third Party

Principles of Insurance

1. Insurable Interest: Economic interest in an asset where its loss causes financial harm (Eg: spouse's life or property ownership).

2. Utmost Good Faith: Both insurer and insured must fully disclose all relevant information about the insured object.

3. Indemnity: Compensation paid to restore the insured property to its pre-loss condition, covering only the actual loss.

4. Contribution: When a property is insured with multiple insurers, each contributes proportionally to the compensation for any loss.

5. Subrogation: After settling a claim, the insurer gains the rights to recover from third parties responsible for the loss.

6. Proximate Cause: Compensation is only provided if the immediate cause of the damage is covered by the policy

Reinsurance: When an insurance company transfers part of its risk to another insurer, reducing its liability and allowing lower premiums for the insured.

Underwriting: Distributing the risk of a high-value property among multiple insurers, so each company compensates for a portion of any loss.

Double Insurance: When a property is insured by more than one company, with compensation shared proportionately between the insurers.

Insurance broker - A person or company registered as an advisor on matters of insurance and as an arranger of insurance cover with an insurer on behalf of a client

Insurance Agent – An agent is a person who represents an insurance firm and sells insurance policies on its behalf

Types of Insurance Policies

Life Insurance/Long Term Insurance: Provides financial protection against death, disability, and is a means of savings for old age. If the insured dies within the policy term, the beneficiaries receive the agreed amount. If the insured survives, they receive the policy value and benefits.

Different kinds of insurance policies include

1. Time life (certain period of time)
2. Lifelong (policy exist as long as the individual lives)

Insurable interest, Utmost good faith and proximate cause are the basic insurance principles that apply only to life insurance.

General Insurance

- **Fire Insurance**
  - **Risk:** Fire
  - **Compensation given:** Damages taking place due to fire

Apart from losses caused due to fire, the following risk can also be covered in the policy by extending the policy via a premium;

- ✓ Losses by strikes and fights
- ✓ Losses by electricity
- ✓ Losses by explosions
- ✓ Flood/Tsunami/Earthquakes
- ✓ Losses from crashes

- **Theft and Burglary insurance**
  - **Risk:** Theft
  - **Compensation given:** Only if the asset is stolen
- **Natural Disaster Insurance**
  - **Risk:** Natural Disaster
  - **Compensation given:** Only if the asset it damaged due to natural disaster
- **Marine Insurance**

1. **Hull Insurance –** Covering ship damage expenses

Different forms of Hull Insurance include, Full option policy**,** Total loss policy**,** Port risk policy, Maintenance policy, Construction all risks policy. **Companies could obtain one of the above policy as per their requirement**

2. **Cargo Insurance –** Relates to the consignment (Loss and damages)

Different forms of cargo insurance policies include, Valued policy, Open cover/Floating policy and Future time policy.

- **Motor Vehicle Insurance**

1. **Full Insurance**
2. **Third party fire and theft insurance**
3. **Third party insurance**

- **Liability insurance**

1. **General Liability –** Loss that may occur unexpectedly from properties or from business activities
2. **Product Liability –** Losses that may occur to consumers by consuming the products
3. **Employer Liability –** The liability to pay compensation to employees can be transferred to an insurance institute

- **Goods in transit** - Losses that can occur to the goods from the moment they are loaded to transport till they are unloaded intending to transport on land
- **Money in transit insurance –** Cover loss that can happen while taking money from one place to another
- **Export credit insurance –** Insurance that safeguards a business' foreign accounts receivable
- **Medical insurance –** Cover the costs of medical care

Difference between life insurance and general insurance

Life Insurance	General Insurance
Is a form of savings	Not a form of savings
A continuous contract	Usually a year
Can be used as security/ collateral to obtain loans	Cannot be used as security/ collateral
Absolute certainty of occurring	May or may not happen
For any amount	Based on the value of item or property

Insurance market in Sri Lanka

Insurance company means a company registered under the Insurance industry formalization act No 43 of 2003, to carry out the insurance activities.

The Sri Lanka insurance board was established to develop the insurance industry.

The tasks performed by the Sri Lanka Insurance board includes;

- ✓ Registration of insurance companies
- ✓ Registration of insurance brokers
- ✓ Suspense of registration of insurance companies
- ✓ Advising the government in formulation and development of the insurance industry

UNIT 09 Communication

Communication can be defined as sending and receiving information, understanding and sharing information from one party to another or many parties.

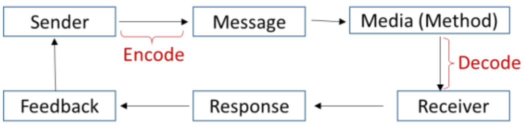
Importance of communication for business activities

- ✓ To communicate plans and strategies
- ✓ To instruct order and get the work done
- ✓ To exchange ideas between different parties

Importance of communication for social activities

- ✓ To exchange ideas and information
- ✓ To be aware of recent incidents instantly
- ✓ To be aware and informed
- ✓ To create and maintain relationships locally and internationally

Communication Process



Characteristics present in an effective communication

-Accuracy	-Should not be exaggerated
-Timely	-Cost effective
-Complete	-Understandability
-Being polite	-Directed to the right person

Barriers to effective communication

- ➢ Poor knowledge about the use of modern technical methods
- ➢ Use of outdated communication systems
- ➢ Language problems, knowledge and attitudes
- ➢ Barrier that occur in communication process

Strategies to overcome barriers of communication

- ➢ Use latest technology
- ➢ Ensure to keep the communication simple and practices
- ➢ Use language translators
- ➢ Avoid excessive information

Communication Methods

Internal Communication → Exchange various of information within the business

Importance of Internal Communication

- ✓ To complete the task
- ✓ To achieve the goals
- ✓ To improve overall coordination

External Communication → Exchange of information with external party

Importance of External Communication

- ✓ For better stakeholder relationships
- ✓ For overall business survival and progress

Communication Media–Oral, Written, Signs & Symbol

Electronic Communication

E-mail	Intercom	Intranet
Voice mail	Internet	Teleconferencing
Fax	Mobile phones	Videoconferencing

Verbal	Internal	Electronic	Intercom
		Non - electronic	Face to face interviews, conferences, internal meetings
	External	Electronic	Telephone, mobile phones, loud speakers, voice mail
		Non - electronic	Drum, public meetings
Written	Internal	Electronic	Electronic notice board, E-mail
		Non - electronic	Memos, notices, notice boards, reports
	External	Electronic	Fax, E-mail, electronic notice boards, SMS
		Non - electronic	Letters, newspapers, magazines, banners, posters, gazettes
Signs and symbols	Internal	Electronic	Electronic bell, internal warning signals
		Non - electronic	Bell, road signs, map depicting the location of the organisation, directional foot prints
	External	Electronic	Warning sirens, colour lights, ambulance siren
		Non - electronic	Packing symbols, railway and road signals, signs used for deaf, decisions of sports umpires, body movements of traffic officers

Evaluating different communication methods

01. Verbal communication

Advatages	Disadvantages
-Sender and the receiver of the information can exchange communication in greater detail and present it by discussion	-Language problems can restrict the communication
-Sender aand receiver are much closer. Hence, communication will be fast	- Problems of exchanging information with parties who are verbally weal
-Communication will be fast and can be presented confidentially	- No proof of communication as evidence

02. Written communication

Advatages	Disadvantages
-Proof of communication as	-Difficulty in understanding
-Can present the communication with tables, graphs, charts and many more	- Reading difficulties can be a barrier for effective communication
-Information can be presented in greater detail (business report)	- changes of key information being lost and hidden in the process

03. Signs and symbols communication

Advatages	Disadvantages
-Easy and fast	-Chances of misunderstandings
-Accuracy is considerably high	-Not effective with blind people
-Can present information briefly	-Should acquire the knowledge of different signs and symbols
	-There Can be difficulties to understand certain signs and symbols

04. Visual communication

Advatages	Disadvantages
-Information can be presented in attractive manner	-Technical experties is required - Can be complex
-can provide information with greater level of detail and clarity	-Feedback will be given through other maodes of communication

UNIT 10 Logistics

Logistics is concerned with the organization movement and storage of material and people.

Inbound Logistics → Supplier to business

Outbound Logistics→ Business to final consumer

Logistics Systems

1. **Heavy inbound logistics system**
2. **Heavy outbound logistics system**
3. **Balanced logistics system**
4. **Reverse logistic system:** Goods move from end user back to seller or manufacturer

Type	Inbound	Outbound
1. Heavy Inbound	High complexity	Less complexity
2. Heavy Outbound	Less complexity	High complexity
3. Balanced	Equal	Equal

Necessity of logistics

- ✓ To get required raw materials with the right quantity.
- ✓ To provide right product in right quantity at right time to right place at the right price to ensure positive customer satisfaction
- ✓ To minimize cost and maintain effective supply chain management
- ✓ To enhance revenue and profitability

Benefits of logistics

- ✓ Can reduce wastage and minimize cost
- ✓ Can guarantee timely delivery to final consumer
- ✓ Can be leaders in the industry
- ✓ Can obtain right quantity and quality raw materials

Functions and advantages of transportation

- ✓ Widens the market
- ✓ Ensure large scale production
- ✓ Increases mobility of labour
- ✓ Provides employment
- ✓ Improves standard/quality of living

Importance of transportation

To Businessmen	To Individuals	To Economy
- Obtain raw material on time - For employee mobility - Expand business	- Tourism - Entertainment - For employment - Education purpose	- Foreign trade - Achieve macro-economic goals

Elements of transportation

Way	Mode	Power	Terminal
Highways	Lorry, Truck, Bus	Fuel, Electricilty	Parking, Bus station
Railways	Train	Fuel, Coal, Electricity	Railway station
Waterway	Ship, Boat	Fuel, Wind ,Electricilty	Harbour
Airways	Helicopter, Aeroplane	Fuel, Wind ,Electricilty	Airport

1. Highway Transportation

Recent improvements in highways;

- Expansion of highways - Construction of express ways
- Flyover bridges &tunnel ways -Better traffic light system

Advantages	Disadvantages
- Can select most suitable mode of transportation	- Inability to transport large volume of stock at same time
- Available any time	- Cost associated is high
- This mode is available all around the country	- Obstacles due to adverse weather conditions

2. Railway Transportation

Recent developments;

✓ Online booking facilities ✓ Better canteen facilities

✓ Better interior facilities ✓ Expansion of railway tracks

Advantages	Disadvantages
- Speed	- Unavailable all over country
- Cost associated is very low	- Not availabe at preferred times
- Safer than highways	- Delays can still occur

3. Water Transportation

Special features of waterway transportation

- Natural waterways -Less power consumption to operate
- Lower operational costs - Flexibility

Advantages	Disadvantages
-Suitable for foreign trade	-Duration taken is too long
-Can transport large volumes -Cost is low	-Not available freely at preferred times

4. Air Transport

Advantages	Disadvantages
-Speed	-Not available all the time
-Suitable for perishable goods	- Probability of accidents
-No cost of maintanance	-Cost is very high

Factors to be considered when selecting an appropriate transport method

1. Nature of the goods
2. Cost
3. Speed
4. Distance
5. Capacity
6. Safety
7. Availability
8. Frequencies

The qualities of a good transport system include speediness, safety, cost effective, sufficient capacity, availability, good standards and legal existence.

Trends in transportation

- The use of tunnels
- Deployment of electric motor vehicles
- Use of cable cars, Use of electric trains
- Construction of flyovers and express ways

Future development in the transportation field;

- ➢ Hyper loop concept
- ➢ Flying taxis
- ➢ Walk car, air wheel
- ➢ Autonomous vehicle
- ➢ Delivery drones
- ➢ Light weight vehicles

Warehousing – Managing and storing raw materials and finished goods

Factors to consider when locating a warehouse

1. **Layout and flow of building** – To ensure smooth flow of inventory
2. **Zoning and intensity of use in the warehouse** – Level of operations and the complete duration of operations
3. **Proximity to major linkages** – access to different ways and methods of transportation
4. **Materials handling capabilities** – Ease of loading and unloading materials
5. **Nature of stocked materials** – Type of raw material and finished goods
6. **Cost** – Evaluate whether business can afford the warehouse

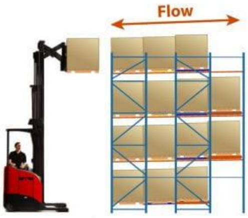
Methods of storing goods in a warehouse

- **Pallet racking**

- **Block stacking/bulk storage**

- **Pallet flow (First in First Out – FIFO)**

- **Push-back racks (Last in First Out – LIFO)**



- **Mezzanine (Best storage method if the warehouse space is small and limited)**

- **Automated storage system** - Modern warehouse that are fully automated with minimal employees

Equipment's used in warehouse

Fork Lift

Pallet jacks

Conveyer belts

Forklift truck

Advantages of using equipment in storing and moving the goods systematically in the warehouse

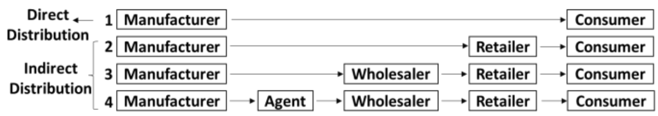
- Organized
- Safety of the stocked products and employees
- Save time
- Saves space of the warehouse

UNIT 11 Trade

Trade – The process of exchanging the ownership of goods and services under the consideration between the buyer and a seller can be described as trade

Types of Trade

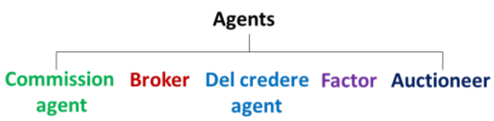
Distribution Process



Trade Intermediaries & Agents – Intermediaries are the parties who are involved in the process of distributing products from manufacturer to the consumer.

Parties that can be introduced as intermediaries – Retailers, Wholesalers and Agents

Agent is an individual who us involved in any activity of a head. An agent undertakes responsibility on behalf of his head and gain a commission in return for the service.



1. **Commission agent -** A commission agent conducts business on behalf of a principal, earning commission while benefiting the principal through transactions.
2. **Broker -** A broker arranges transactions between a buyer and seller, providing information and earning a fee from one or both parties.
3. **Del credere agent -** A del credere agent buys or sells goods in their own name on behalf of a principal, acting as both salesperson and guarantor for buyer credit.
4. **Debt factoring -** This is when a business sells its invoices at a discount to a third party to avoid long payment wait times.
5. **Auctioneer -** An auctioneer conducts auctions by accepting bids, selling goods, and receives a fee for arranging public sales for the principal.

Advantages & disadvantages of involving intermediaries

Advantages	Disadvantages
-Convenient for the manufactuer as they could focus on production	-At times intermediaries are not relaible
-Provide logistics support -Burden sharing, cost and time saving -Process of exchange will be simple	- At times products can be sidelined as intermediaries could promote competitors products
-Making products available for consumers, when necessary, from various locations	-Increase in prices of goods and services as intermediaries do get involved in the trade

Retail Trade – Selling goods to the end consumer is known as retail trade. The person who sells goods in that manner is known as the retailer.

Characteristics of retail trade;

- Selling the product to the end consumer
- Quantity traded is relatively low
- Providing sufficient information to the end consumers
- Maintaining close relationship with end consumer
- Obtain customer feedback and provide the same to manufacturer/ producers/ wholesalers

1. **Services provided by retail trader to the producer**
   - ✓ Introducing new products of producer to consumer
   - ✓ Provide after-sale consumer feedback to producer
   - ✓ Assisting in promotion of manufactured products
2. **Services provided by retail trader to the wholesaler**
   - ✓ Distributing goods stored by wholesaler to consumer
   - ✓ Provide information on the market, consumer taste
   - ✓ Contributing to the promotion of wholesale activities
3. **Services provided by retail trader to the consumer**
   - ✓ Providing required goods in adequate quantities when necessary
   - ✓ Make credit sales
   - ✓ Introducing new products and providing instructions when necessary
   - ✓ Providing various types of goods based on customer requirements

Types of retail trade

- Hawkers & peddlers - Street traders - Street stalls
- Fixed shop traders - Market traders
- General stores - Second hand goods
- Single line stores - Specialty stores
- Department stores - Multiple shops or chain stores
- Hire purchase - Super markets

Trends in retail trade

- ➢ Supermarkets throughout the country
- ➢ Functioning of retail outlets using modern technology Examples:
  - Recording prices using barcode
  - Digital flashes of prices
  - Application of CCTV camera system
- ➢ Extending opening hours
- ➢ Combining retail outlets with the supply of services
- ➢ Automatic vending machines
- ➢ Using modern management techniques
- ➢ Non store retailing
  1. Online retailing – electronic retail trade through the internet
  2. Direct marketing – Supplying products to consumers without the aid of intermediaries

Wholesale Trade – can be defined as the sale of goods to the purchasers who purchase with the intention of resale. The party involved in this trade is the wholesaler.

A wholesaler buys goods directly from manufacturers in large quantities at manufacturers price and sells them to retailers in small quantities.

Characteristics of wholesale trade;

- Purchase goods with the purpose of reselling
- Selling goods in batches
- Providing trade discounts
- Conducting sales promotion activities
- Carrying out market research
- Storage of goods
- Providing transport services

Services provided by wholesale trader to the producer

- ✓ Purchase of goods in bulk
- ✓ Providing market information
- ✓ Helping and supporting

Services provided by wholesale trader to the retailer

- ✓ Supply of goods in batches
- ✓ Storage facilities
- ✓ Transport services
- ✓ Loan/credit facilities

Advantages of eliminating wholesaler are;

- ➢ Price reductions
- ➢ Reduction in distribution time
- ➢ Can maintain a direct relationship with the customer

Disadvantages of eliminating a wholesaler are;

- ➢ Rise of storage expenses
- ➢ Certain goods can get perished
- ➢ Inability to gain wholesalers specialized knowledge
- ➢ The complexity of producer's work

Foreign Trade

When a country engage in trade with a foreign country is known as foreign trade.

Import: Getting goods & services from foreign countries

Export: Selling off goods and services to foreign countries

Entrepot: Goods imported from another country and kept in a warehouse at the point of entry without being brought into the country and re-exported to another country

Somalia → Sri Lanka Border → Malaysia

Re export: Goods imported from one country being exported to another country

Somalia → Sri Lanka → Malaysia

Factors that provide the basis for foreign trade;

- ➢ Availability of natural resources
- ➢ Cost advantage
- ➢ Reduction of trade barriers
- ➢ Global market
- ➢ Availability of competency and technology

Benefits of foreign trade;

- ✓ Access to global market
- ✓ Export surplus products
- ✓ International recognition
- ✓ Inflow of money to the economy

Limitations of foreign trade;

- ✓ Imports having a higher demand compared to local products
- ✓ Dumping pf goods by foreign businesses
- ✓ Outflow of money
- ✓ Depreciation of exchange rate

Barriers to free trade;

1. **Tariffs –** Tax imposed on imports
2. **Quotas –** Limit on the quantity of the imports
3. **Embargo –** Complete ban on import of products
4. **Red tape –** Increased rules & regulation on imports
5. **Exchange rate policies –** Manipulating exchange rate value in order to create fluctuations in foreign trade
6. **Trade agreements –** Formulating international trade agreements between countries

Import Procedure

Selection of foreign suppliers
↓
Submitting a price inquiry
↓
Receiving the quotation
↓
Obtain Import license
↓
Issue an indent
↓
Making the relevant payment
↓
Clearing the goods

Export Procedure

Getting registered a an exporter
↓
Finding foreign customers
↓
Obtain export license
↓
Submit Quotation in response to price inquiry
↓
Obtain indent from importer
↓
Reserving shipping scape & preparing necessary document
↓
Packing the goods
↓
Insuring the goods
↓
Hand over gods to shipping agent & obtain bill of lading
↓
Make necessary arrangements for the receipt

Documents in relation to imports and exports

1. **Import/export license –** Official permission granted
2. **Indent/order –** Purchase order
3. **Bill of lading –** Issued by the ship-owner or agent to the exporter, confirming receipt of goods for transport. It includes details like the goods' description, exporter, importer, ship name, and destination port. The importer uses it to claim ownership upon arrival.
4. **Invoice –** Issued by exporter to importer
5. **Letter of origin –** Issued by a recognized board of trading, or any other state authority, certifying goods were made in the exporting country. This document is essential for claiming tariff commission
6. **Letter of credit –** In import/export trade, a letter of credit is issued by the importers bank to the exporters bank, guaranteeing payment for shipped goods
7. **Import entry –** Document submitted to customs by the importer confirming the importer's ownership to the goods that have been received at the port of destination
8. **Export entry –** Document submitted to customs of the exporter by the exporter giving full details of the goods that are anticipated to be exported
9. **Insurance certificate –** Obtained by exporter or importer when exporting the relevant batch of goods.
10. **Wharfinger's receipt –** Issued to exporter by customs confirming goods were received & undertaken by them
11. **Letter of indemnity –** Issued by the exporter to ship's captain, accepting full responsibility for any future responsibility for any future risks or damages, to obtain pure bill of lading. If all goods or part of goods are damaged impure bill of lading will be issued.
12. **Sanitary certificate/ health certificate –** confirms the suitability of the product for consumption
13. **Warehouse certificate –** Issued by warehouse authority to importer to confirm that goods have been stored there. Ownership of warehouse certificate can be transferred.

Methods used to make payments in foreign trade;

1. Letter of credit
2. Bank order
3. Electronic payment methods
4. Payment through electronic payment entities

Institutions linked with foreign trade;

- Commerce department
- Sri Lanka customs department
- Export development board of Sri Lanka

Uplifting the foreign trade

Trade Zones

1. **European Union (EU)**
   An economic & political union of 27 European countries. It promotes a single market with free movement of goods, services, people & capital. The EU maintains common policies among member states, operates under a standardized legal system, and has a shared currency (Euro). Key areas include trade, agriculture, fisheries, and regional development.
2. **Association of south east Asian nations (ASEAN)**
   A union of 10 Southeast Asian countries promoting free trade, cooperation & economic development.

- **Singapore** - **Indonesia** - **Malaysia**
- **Philippines** - **Thailand** - **Vietnam**
- **Cambodia** - **Laos** - **Brunei** - **Myanmar**

3. **Group of 8**
   An international organization of 8 major economies, formed to address global economic issues & crises.

- **United States of America** - **United Kingdom**
- **Russia** - **West Germany** - **Japan** -**Canada**
- **France** - **Italy**

Trade Agreement

1. **North American Free Trade Agreement (NAFTA)**
   An agreement between USA, Canada & Mexico, abolished trade barriers and tariffs for goods made within these countries.
2. **South Asian Free Trade Agreement (SAFTA)**
   Promotes trade cooperation in South Asia by creating a free trade zone, removing tariffs, and improving transport and trade services among member countries.

- **Sri Lanka** - **India** - **Bangladesh** - **Bhutan**
- **Maldives** - **Nepal** - **Afghanistan** - **Pakistan**

3. **Asia Pacific Trade Agreement (APTA)**
   Aims to boost economic development by reducing tariffs and trade barriers among member countries.

- **Bangladesh** - **China** - **Mongolia** - **Sri Lanka**
- **South Korea** - **Laos** - **India**

International Organizations

1. **World Trade Organization (WTO) -** Main institute that promotes & encourages international trade
2. **South Asian Association for Regional Co-operation (SAARC)**

- ✓ Agriculture & rural development
- ✓ Tele communication, Science technology and climatology
- ✓ Health & population affairs
- ✓ Transport
- ✓ Human resource development

Member Countries: Sri Lanka, Bangladesh, Bhutan, India, Nepal, Afghanistan, Pakistan, Maldives

3. **Asian Development Bank (ADB) –** Offers loans and grants to countries that are in poverty
4. **International Bank of Reconstruction & development (IBRD) –** An arm of world bank that offers support (financial & non-financial) to Various countries that are struggling and experience poverty
5. **International Monetary Fund (IMF) –** Provides financial & non-financial support for various countries that are struggling and experiencing poverty

Impact of trade associations, agreements and international organizations on foreign trade

- ✓ Removal of tariff & non-tariff barriers that affect free trade
- ✓ Promotion of co-operation among countries
- ✓ Ensuring all member countries gaining equal rights
- ✓ Gaining stable market for the country's own product through trade agreements

Trends in foreign trade

- ✓ Expansion of foreign trade through ecommerce
- ✓ Use of electronic payment methods
- ✓ Establishment of trade blocs and partnerships
- ✓ Leaning towards foreign trade policies to encourage higher value-added products

Electronic Commerce

E-business can be defined as any business that takes place by digital processes over a computer network.

E-commerce/ e trade is the process of buying and selling goods creating market space between buyers and sellers through internet

Advantages of electronic trade to businessmen;

- ✓ Availability of cost benefits
- ✓ Access to wider market
- ✓ Access to significant number of customers
- ✓ Increase revenue and profitability
- ✓ Brand awareness, recognition and goodwill

Advantages of electronic trade to customers;

- ✓ Can place the order quickly and easily
- ✓ Can make transactions 24x7
- ✓ Availability of broader range of goods
- ✓ Can buy products at low price
- ✓ Can check online reviews prior to purchase

Social benefits of electronic trade;

- ✓ Uplifting the living standards
- ✓ Opportunity to consume modern products
- ✓ Approach to new markets and employment opportunities

Limitations of electronic commerce

- ✓ Cyber crimes
- ✓ Lack of knowledge to the consumers
- ✓ Restrictions and limited internet facilities
- ✓ Technical failures
- ✓ Lack of trust in electronic systems

Forms of electronic trade

1. **E auctioning –** Auctioning process via internet
2. **Electronic market**
3. **Other methods**
   - ✓ **B2B –** Business to Business
   - ✓ **B2C –** Business to Customer
   - ✓ **C2C –** Customer to Customer
   - ✓ **G2C –** Government to Customer
   - ✓ **B2G –** Business to Government
   - ✓ **G2B –** Government to Business
   - ✓ **C2G –** Citizen to Government

This short note has been prepared by highlighting the most important points, covering the majority of the syllabus. However, please note that certain parts may be missed. If there are any mistakes that needs to be corrected, kindly send a WhatsApp message to 0753987989